China Banks

SME policy pivot - near-term AQ pain, medium-term yield recovery. Implications for banks vary

China's financial regulator has pivoted from encouraging banks to grow inclusive loans to instead focusing on the quality and sustainability of the loans (Table 4). We view this shift as a response to rising SME credit risks (Table 2-Table 3) and relatively soft loan demand. Given the worsening debt-servicing ability of SMEs, the deceleration in inclusive loan growth could intensify near-term asset quality pressure. But in the medium term, it may ease pricing competition and support a modest recovery in inclusive loan yields. The implications for banks vary. We prefer CCB, SPDB and CRCB as these three banks reported declines in personal business loan (a sub-category of inclusive finance) NPL ratios in 2025, and look set to benefit from improvement in loan yield. By contrast, we remain cautious on PSBC and CSRCB on this topic, given their larger inclusive finance exposure (Figure 8) and continued asset quality pressure.

- **What's new?** On May 19th, the NFRA issued the Notice on MSE Financial Services for 2026 (link), with the most important change being the removal of explicit encouragement of MSE loan growth. Rather than focusing on volume growth, the 2026 Notice reorients the policy objective around credit structure optimization and asset quality improvement.
- **A refresher on the regulatory shift on SME lending - from volume race to quality competition (Table 4)**. The NAFR formally introduced the "two increases, two controls" (两增两控) framework in 2018, requiring banks to ensure inclusive SME loan growth was no lower than overall loan growth and that the number of SME borrowers was no lower than the prior year level, with a higher target set specifically for the Big 5 banks. Starting in 2023, the "two increases" hard requirement was dropped, but regulators continued to guide banks towards high SME lending growth directionally. The 2026 Notice marks a more decisive pivot from quantity to quality with no mention of the SME loans growth target, while there is an emphasis on asset quality improvement.
- **We see rising asset quality risks for SME loans:** NBS PMI data shows that while large enterprises' PMI trended up m/m to 51.1 in May, small enterprises' PMI declined to 48.5 (Figure 1). Data also shows that since Covid, there has been significant divergence in interest coverage ratios and account-receivable turnover days between large and small enterprises. Small enterprises' interest coverage ratio is meaningfully lower (Figure 2) and accounts receivable cycle notably longer than large peers (Figure 3). The guidance change from PBOC may lead to further deceleration of inclusive loan growth (Figure 4, Figure 5); we think this would intensify the asset quality for SME loans in the near term.
- **The economics of SME loans meaningfully deteriorated in recent years**: From 2022 to 2025, the lending rate of new inclusive finance loans contracted 1.2pcts to 3.31%, while the NPL ratio of personal business loans, a sub-category of inclusive finance, rose by 70bps to 1.66%. We have not seen an inflexion point for the worsening economics, with the exception of SPDB and CCB whose NPL as a % of personal business loans saw marginal improvement in 2025 on a y/y basis.

Banks & Financial Services

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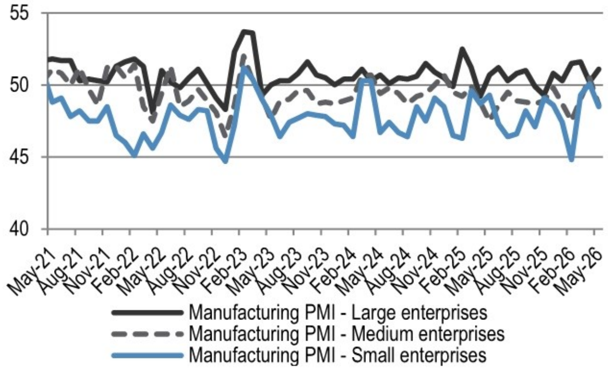
- **The silver lining is that the lending yield for inclusive finance loans may improve in the medium term**: With the deceleration of loan growth, particularly from SOE banks, we may see moderate improvement in loan pricing. But the magnitude is likely to be small as banks' risk appetite remains low, and debt-servicing ability of small enterprises is yet to recover.

- **Implications for SOEs and JSBs – prefer CCB and SPDB and avoid PSBC. We see risk to Minsheng from this topic:** On the positive side, **CCB** and **SPDB** reported NPL ratio contraction for personal business loans in 2025 (Table 2), thus if lending yield can improve following the ease in competition, economics for inclusive finance may improve. On the negative side, **PSBC** has the highest exposure to inclusive finance loans, and continued to see lending yield contraction and a rise in NPL ratios for this portfolio in 2025 (Table 1, Table 2). For **Minsheng**, although it has done a better job in managing assert quality for personal business loans in past three years, its share price performance may still lag due to its relatively sizable inclusive finance portfolio.

- **Implications for city and rural commercial banks**: We see short-term pain but long-term gain for regional banks with genuine SME service capabilities. **In the short term,** the pressure is on AQ. We are yet to observe an inflection point in personal business loans NPL % across our covered banks (Table 3), and any large bank credit withdrawal from the SME segment could amplify repayment stress. **In the long term,** a reduction in irrational pricing pressure from large banks should create room for NIM recovery and gradual market share stabilization in their key operating regions. Among our covered banks, we think **CSRCB** is more exposed to near-term AQ downside, given its largest inclusive finance exposure (Figure 8) and continued deterioration in personal business AQ (Table 3). However, the longer-term read through is constructive. Since 2020, CSRCBs' SME growth had been meaningfully constrained by aggressive large bank competition (Figure 9). As competitive dynamics normalize, we believe CSRCB will be best placed to regain share with its deep local knowledge and effective "loan factory" credit model. We stay cautious on CSRCB until we observe positive signs from its AQ. We like CRCB as its NPL ratio on personal business loan contracted 49bps h/h in 2H25, likely supported by local macro recovery and better underwriting capacity (Table 3).

Figure 1: PMI for small and medium enterprises have been trending below that of the large enterprises



Source: NBS, CEIC. Data as of 1 June 2026.

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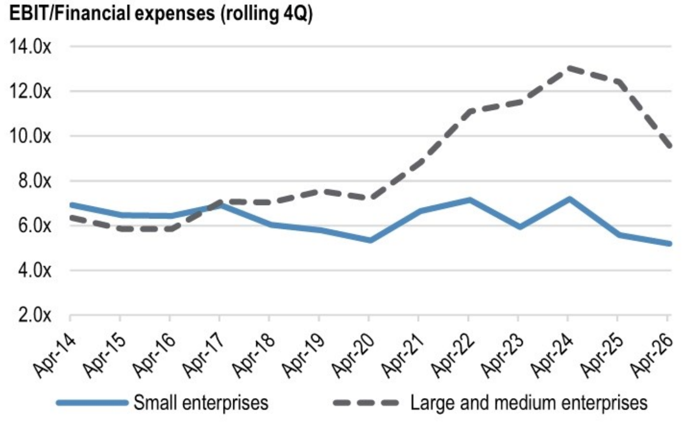
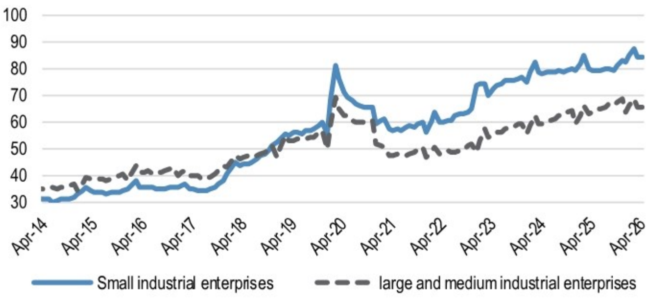
Figure 2: EBIT/financial expenses for small industrial enterprises have been weaker than large and medium enterprises



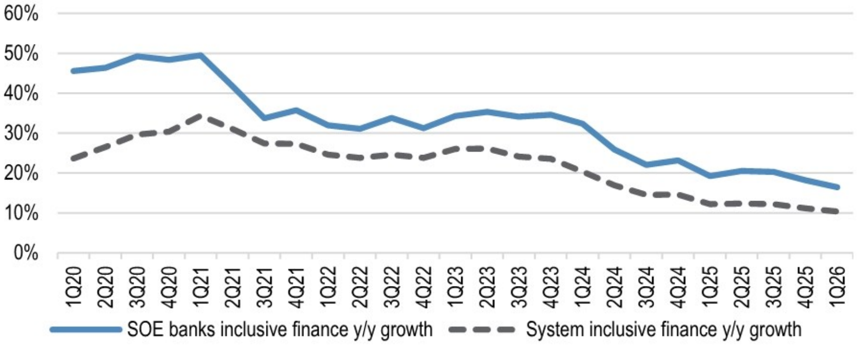
Source: CEIC. Data as of 1 June 2026.

Figure 3: Account receivables for small industrial enterprises is picking up and is higher than for large and medium enterprises



Source: CEIC. Data as of 1 June 2026.

Figure 4: SOE banks have higher inclusive finance growth than the system level



Source: PBOC (as of 1 June 2026, NAFR (as of 1 June 2026), Wind (as of 1 June 2026).

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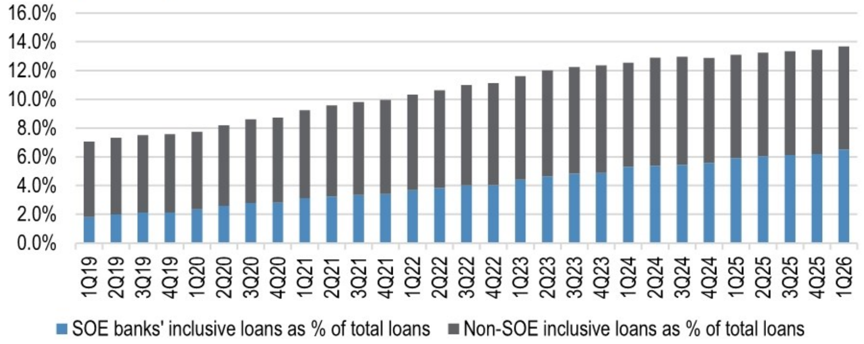
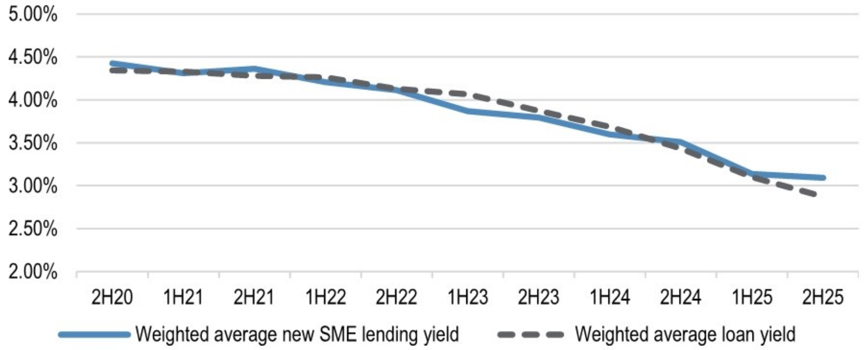
Figure 5: Inclusive finance loans' contribution to total loans increased from 7% in 1Q19 to 13.7% in 1Q26, and contribution from SOE banks is becoming more significant



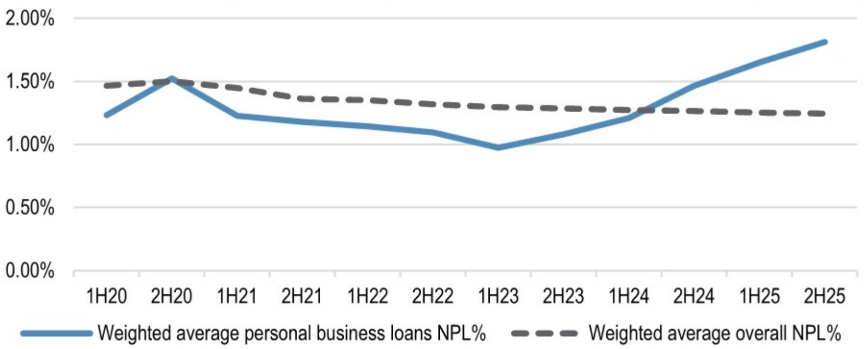
Source: PBOC (as of 1 June 2026, NAFR (as of 1 June 2026), Wind (as of 1 June 2026).

Figure 6: Weighted average new SME lending yield vs overall loan yield for banks with relevant disclosures



Source: 2H20-2H25 company reports of ICBC, CCB, BOC, ABC, CMB, HXB, MSB, EB, and Industrial. Note: We include only these banks as they made consistent disclosure of new SME lending yields from 2H20-2H25.

Figure 7: Weighted average NPL ratio for personal business loans has trended up since 1H23, while that for overall loans decreased



Source: 1H20-2H25 company reports of ABC, CCB, ICBC, BoCom, PSBC, CMB, SPDB, MSB, and Industrial. Note: We include only these banks as they made consistent disclosure of new SME lending yields from 1H20-2H25

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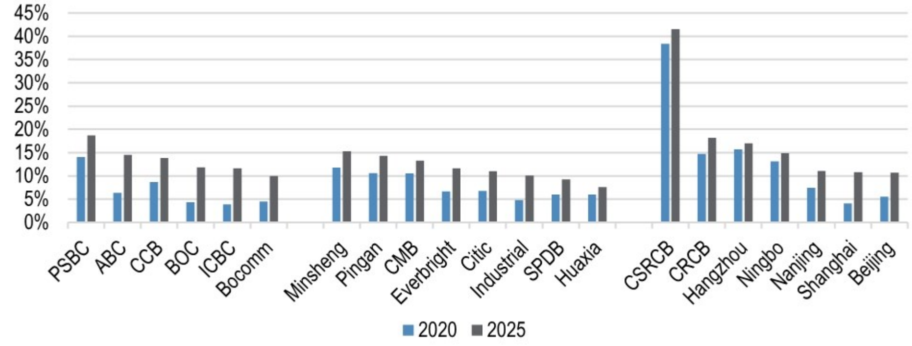
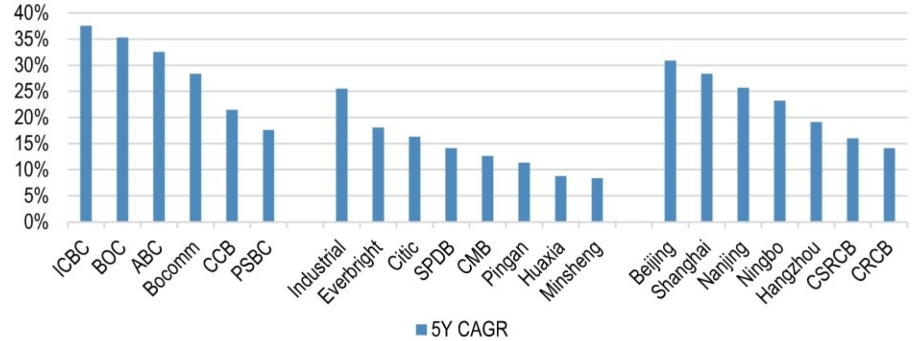
Figure 8: Inclusive finance as % of total loans in 2020 vs 2025, by bank



Source: 2020 and 2025 annual reports for the banks mentioned in the chart above. J.P Morgan estimate for CSRCB 2020 inclusive finance loan balance, as the bank did not disclose this data in 2020.

Figure 9: Inclusive finance CAGR in 2020-2025, by bank



Source: 2020 and 2025 annual reports for the banks mentioned in the chart above. J.P Morgan estimate for CSRCB 2020 inclusive finance loan balance, as the bank did not disclose this data in 2020.

Table 1: New inclusive finance lending yield vs gross loan lending yield by bank in 2022-25

	New Inclusive finance lending yield						Gross loans lending yield					
	2022	2023	2024	2025	2025-YoY	2025 vs 2022	2022	2023	2024	2025	2025-YoY	2025 vs 2022
Huaxia	5.84%	5.15%	4.69%	4.10%	-0.6 pct	-1.7 pct	4.9%	4.7%	4.4%	3.9%	-0.5 pct	-1.0 pct
CMB	5.15%	4.48%	4.22%	3.65%	-0.6 pct	-1.5 pct	4.5%	4.3%	3.9%	3.3%	-0.6 pct	-1.2 pct
PSBC	4.85%	4.61%	4.16%	3.57%	-0.6 pct	-1.3 pct	4.5%	4.1%	3.8%	3.2%	-0.6 pct	-1.3 pct
Minsheng	4.77%	4.65%	4.27%	3.50%	-0.8 pct	-1.3 pct	4.5%	4.3%	4.0%	3.4%	-0.5 pct	-1.1 pct
Everbright	4.44%	3.97%	3.47%	3.19%	-0.3 pct	-1.3 pct	5.0%	4.7%	4.2%	3.6%	-0.6 pct	-1.4 pct
CCB	4.00%	3.75%	3.54%	3.10%	-0.4 pct	-0.9 pct	4.2%	3.8%	3.4%	2.8%	-0.6 pct	-1.3 pct
ABC	3.90%	3.67%	3.44%	3.08%	-0.4 pct	-0.8 pct	4.1%	3.8%	3.4%	2.9%	-0.5 pct	-1.2 pct
Industrial	4.14%	3.87%	3.53%	3.06%	-0.5 pct	-1.1 pct	4.8%	4.6%	4.2%	3.6%	-0.6 pct	-1.2 pct
ICBC	3.84%	3.55%	3.30%	2.96%	-0.3 pct	-0.9 pct	4.0%	3.8%	3.4%	2.8%	-0.6 pct	-1.2 pct
BOC	3.81%	3.54%	3.24%	2.90%	-0.3 pct	-0.9 pct	3.9%	4.0%	3.6%	3.0%	-0.6 pct	-0.9 pct
Average	**4.47%**	**4.12%**	**3.79%**	**3.31%**	**-0.5 pct**	**-1.2 pct**	**4.4%**	**4.2%**	**3.8%**	**3.2%**	**-0.6 pct**	**-1.2 pct**

Source: 2022-2025 annual reports for the names mentioned in the table above

Table 2: Personal business loans NPL ratio vs overall loan NPL ratio by banks in 2022-25

	Personal business loan NPL %						Overall NPL %					
	2022	2023	2024	2025	2025-YoY	2025 vs 2022	2022	2023	2024	2025	2025-YoY	2025 vs 2022
BoComm	0.63%	0.79%	1.21%	1.94%	73 bps	131 bps	1.35%	1.33%	1.31%	1.28%	-2 bps	-7 bps
ABC	0.65%	0.76%	1.39%	1.85%	46 bps	119 bps	1.37%	1.33%	1.30%	1.27%	-3 bps	-11 bps
CCB	0.65%	0.95%	1.59%	1.58%	-1 bps	93 bps	1.38%	1.37%	1.34%	1.31%	-2 bps	-7 bps
ICBC	0.91%	0.86%	1.27%	1.82%	55 bps	91 bps	1.38%	1.36%	1.34%	1.31%	-3 bps	-8 bps
PSBC	1.69%	1.72%	2.20%	2.43%	23 bps	74 bps	0.84%	0.83%	0.90%	0.96%	6 bps	12 bps
Industrial	0.56%	0.79%	0.80%	1.29%	49 bps	73 bps	1.09%	1.07%	1.07%	1.08%	1 bps	-1 bps
CMB	0.64%	0.61%	0.79%	1.22%	43 bps	58 bps	0.96%	0.95%	0.95%	0.94%	-1 bps	-2 bps
Pingan	0.74%	0.83%	1.02%	1.17%	15 bps	43 bps	1.05%	1.06%	1.06%	1.05%	-1 bps	1 bps
SPDB	1.51%	1.51%	1.70%	1.69%	-1 bps	18 bps	1.52%	1.48%	1.36%	1.26%	-9 bps	-26 bps
Minsheng	1.61%	1.20%	1.54%	1.63%	9 bps	3 bps	1.68%	1.48%	1.47%	1.49%	2 bps	-18 bps
Average	**0.96%**	**1.00%**	**1.35%**	**1.66%**	**31 bps**	**70 bps**	**1.26%**	**1.23%**	**1.21%**	**1.20%**	**-1 bps**	**-7 bps**

Source: 2022-2025 annual reports for the names mentioned in the table above

Table 3: Personal business loan NPL% vs overall NPL% comparison for regional banks

	Personal business loans NPL ratio						Overall NPL ratio					
	1H24	2H24	1H25	2H25	HoH	YoY	1H24	2H24	1H25	2H25	HoH	YoY
CRCB	1.78%	1.67%	2.46%	1.97%	-49bps	30bps	1.19%	1.18%	1.17%	1.08%	-9bps	-10bps
CSRCB	0.91%	0.95%	1.13%	NA	NA	NA	0.76%	0.77%	0.76%	0.76%	0bps	-1bps
Ningbo	3.04%	2.97%	3.30%	3.45%	15bps	48bps	0.76%	0.76%	0.76%	0.76%	0bps	0bps
Shanghai	1.49%	1.56%	2.12%	2.39%	28bps	84bps	1.21%	1.18%	1.18%	1.18%	0bps	0bps
Hangzhou	0.91%	0.93%	1.28%	1.52%	24bps	59bps	0.76%	0.76%	0.76%	0.76%	0bps	0bps

Source: 1H24, 2H24, 1H25 and 2H25 earnings reports for the names mentioned in the table above

Table 4: Summary on NAFR's requirements on SME lending in 2018-2026

	Policy Language	Key requirements	Special requirements for Big 5 SOE banks	Link to regulatory documents
2018-2022	两增两控 Two Increases, Two controls	1) Inclusive SME loan growth should be no lower than overall loan growth on y/y basis, and SME accounts with loan balance should not be lower than the previous year 2) Control asset quality and comprehensive costs of SME loans	SME loan growth should be no lower than 30%/40%/30% in 2019/20/21, respectively	link, link, link, link, link
2023	增量扩面 Incremental growth and broader coverage	1) Maintain expansion in SME financing volume and borrower coverage 2) Reduce comprehensive financing costs for SMEs.	NA	link
2024	保量、稳价、优结构 Maintain volume, stabilize price, optimize structure	1) Focus on the operating capital needs of small and micro enterprises, reasonably determine the pace of credit provision, and strive to achieve the goal of not less than the growth rate of inclusive small and micro enterprises loans 2) Stabilize loan pricing and strengthen the price disclosure 3) Improve the loan structure and expand service coverage	NA	link
2025	保量、提质、稳价、优结构 Maintain volume, improve quality, stabilize price, optimize structure	1) Focus on the operating capital needs of small and micro enterprises, reasonably determine the pace of credit provision, and strive to achieve the goal of not less than the growth rate of inclusive small and micro enterprises loans 2)Continue to Improve credit service quality for SMEs 3) Stabilize loan pricing and strengthen the price disclosure 4) Improve the loan structure and expand service coverage	NA	link
2026	稳投放、优结构、提质量、可持续 Stabilize credit supply, optimize structure, improve quality to maintain sustainable growth	1) Banks should provide credit supply that is compatible with economic development and with the needs of SMEs 2) Improve the loan structure 3) Strengthen asset quality monitoring and analysis and implement loan risk classification on actual basis 4) Enhance the sustainability of SME ecosystem	NA	link

Source: National Administration of Financial Regulations (NAFR). 2018 Notice on Promoting the High-Quality Development of Financial Services SMEs in the Banking Industry (31st Aug 2018), 2019 Notice on Further Improving the Quality and Efficiency of Financial Services for SMEs (4th Mar 2019); 2020 Notice on Further Strengthening Financial Services for SMEs (2nd Jun 2020); 2021 Notice on Further Promoting the High-Quality Development of Financial Services SMEs (9th Apr 2021) ; 2022 Notice on Further Strengthening Financial Support for the Development of SMEs (8th Apr 2022); 2023 Notice on Improving the Quality of Financial Service for SMEs (27th Apr 2023); 2024 Notice on SME financial service (28th Mar 2024); 2025 Notice on SME financial service (7th May 2025); 2026 Notice on SME financial service(19th May 2026)

Companies Discussed in This Report (all prices in this report as of market close on 03 June 2026, unless otherwise indicated)
Changshu Rural Commercial Bank - A(601128.SS/Rmb7.06/UW), China Construction Bank - A(601939.SS/Rmb10.06/OW), China Construction Bank - H(0939.HK/HK$8.57/OW), China Minsheng Banking - A(600016.SS/Rmb3.54/N), China Minsheng Banking - H(1988.HK/HK$3.44/N), Chongqing Rural Commercial Bank - A(601077.SS/Rmb6.71/OW), Postal Savings Bank of China (1658)(1658.HK/HK$5.04/N), Shanghai Pudong Development Bank - A(600000.SS/Rmb9.25/OW)

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